

Solar Ownership / Financing Agreement

Contract date: 2024-05-01

Residential Solar Energy System Lease Agreement — synthetic template

Prepared for demonstration. SYNTHETIC DEMO DOCUMENT — fictional data for demonstration only. Not an official California Association of Realtors form.

Property: 123 Main St, Pasadena, CA 91101

APN: 5842-018-024

Provider: SunRun

System: 20-module rooftop array

Customer: Jane Seller

Contract date: 2024-05-01

Contract no.: SUN-4471-CA

Contract summary and disclosure box

Summary term	Detail
Ownership type	Lease of the solar energy system (provider-owned)
Initial term	25 years from the system activation date
Year 1 monthly payment	\$89.00 (then annual escalator of 2.9%)
Payments include	Monitoring, maintenance, and repairs under the lease terms
Buyer assumption	Lease transfers to the buyer at sale with provider consent
Cancellation right	Three days after signing for a new installation (see Exhibit 1)

Clause summary above is a paraphrase of typical residential solar lease terms for demonstration; it is not an offer from any real provider.

Payment schedule (years 1–13)

Year	Monthly	Annual
1	\$89.00	\$1,068.00
2	\$91.58	\$1,098.96
3	\$94.24	\$1,130.88
4	\$96.97	\$1,163.64
5	\$99.78	\$1,197.36
6	\$102.67	\$1,232.04
7	\$105.65	\$1,267.80
8	\$108.71	\$1,304.52
9	\$111.86	\$1,342.32
10	\$115.10	\$1,381.20
11	\$118.44	\$1,421.28
12	\$121.87	\$1,462.44
13	\$125.40	\$1,504.80

Monthly payments are billed on the same day each month. The annual escalator shown in the summary is applied once per contract year on the first billing of that year.

Payment schedule (years 14–25, continued)

Year	Monthly	Annual
14	\$129.04	\$1,548.48
15	\$132.78	\$1,593.36
16	\$136.63	\$1,639.56
17	\$140.59	\$1,687.08
18	\$144.67	\$1,736.04
19	\$148.87	\$1,786.44
20	\$153.19	\$1,838.28
21	\$157.63	\$1,891.56
22	\$162.20	\$1,946.40
23	\$166.90	\$2,002.80
24	\$171.74	\$2,060.88
25	\$176.72	\$2,120.64

Illustrative schedule: escalator applied annually to the prior year's monthly amount.

Total scheduled payments over the initial term, before any adjustment for production credits or early purchase, are shown in the account statements the provider issues each year.

1. Definitions

System means the solar photovoltaic equipment listed in the summary installed at the property. Production means the electrical energy the system generates. Activation date means the date the provider notified the customer the system was operational. Customer means the property owner named above and any buyer who assumes this agreement.

2. Term and renewal

The lease begins on the activation date and continues for the initial term stated in the summary. After the initial term the lease continues month to month unless a party gives written notice to end it or the parties agree to renew on updated terms.

3. Payments

Monthly payments are due on the same day each month beginning after the first full billing period. Late amounts may accrue a fee at the highest rate permitted by law. Disputed amounts may be withheld only while the customer pays the undisputed portion and notifies the provider of the dispute in writing.

4. Maintenance, monitoring and repairs

The provider owns the system during the lease and is responsible for monitoring, servicing, and replacing components that fail under normal use. The customer will keep the roof area around the system accessible and will not modify the roof penetrations without the provider's consent.

5. Production guarantee and performance

Where the agreement includes a production guarantee, the provider will credit the customer if measured production falls below the guaranteed amount for a measurement period. Credits apply to future payments and are not payable in cash unless the agreement says so.

6. Insurance

The customer will maintain homeowner's property coverage on the structures to which the system is attached, and will carry liability coverage as required by the provider. The provider will carry coverage on the equipment itself. Each party will provide evidence of coverage on request.

7. Transfer on sale of the property

If the property is sold, the customer may assign this agreement to a qualified buyer who meets the provider's credit criteria. The provider will not unreasonably withhold consent and will provide a payoff or assumption statement within a reasonable period of a written request.

8. Purchase option

At the end of the initial term, or earlier if stated in the summary, the customer may purchase the system at the fair market value determined by an independent appraisal process described in the rider to this agreement, or may have the system removed at the provider's expense if the provider elects removal instead of sale.

9. Warranties

Manufacturer warranties on panels and inverters pass through to the customer for their stated periods. The provider warrants its workmanship for the period stated in the installation documents. Warranties exclude damage from acts of God, vandalism, and modifications by others.

10. Default and cure

A party is in default on written notice and failure to cure within thirty days for payment defaults or fifteen days for other defaults. On the customer's default the provider may collect amounts due and may remove the system after notice where permitted.

11. Casualty and condemnation

If the system is destroyed or damaged, the parties will decide whether to restore it, terminate the lease, or apply insurance proceeds to restoration. If the property is taken by eminent domain, awards are allocated between the realty and the equipment as their relative interests appear.

12. Assignment

The provider may assign this agreement with notice to the customer. The customer may assign only as allowed in Section 7. Any other assignment attempt is void without the provider's written consent.

13. Notices

Notices must be in writing and delivered personally, by first-class mail, or by recognized courier to the addresses stated above, with a copy by email where an address is on file. Notice is effective on delivery or refusal.

14. Dispute resolution

The parties will attempt informal resolution first. If unresolved, disputes will be submitted to mediation and, if mediation fails, to binding arbitration or small claims court as the agreement permits. Each party bears its own costs unless the arbitrator decides otherwise.

15. Miscellaneous

This agreement, with its summary and exhibits, is the entire agreement between the parties and may be changed only in writing signed by both. If a provision is unenforceable, the rest remains in effect. The agreement is governed by the law of the state where the property is located. Captions are for convenience only.

Rider A — System specification

Specification	Value
Modules	20 modules, monocrystalline, approximately 8.4 kW DC
Inverter	Single string inverter, garage-mounted
Mounting	Composition-shingle roof, flashed attachments on south-facing plane
Monitoring	Production meter with web portal access included in lease
Estimated annual production	12,400 kWh (first-year estimate)
Wiring and disconnects	Permitted and inspected at installation

Rider B — Roof condition addendum

The customer represents that, to the customer's knowledge, the roof area receiving the system was free of active leaks at installation. The provider will notify the customer before any roof work that would require removal of the array, and the parties will coordinate scheduling so that production downtime is minimized.

If the roof requires replacement during the initial term, the customer will give the provider reasonable notice so the array can be removed and reinstalled. Labor for that removal and reinstallation is covered by the lease when the roof work is unrelated to a customer-caused condition.

Signatures

By signing, the customer agrees to the lease terms above and the provider agrees to install, monitor, and maintain the system as described.

Jane Seller
Customer (property owner)
Date: 2024-05-01

Sam Provider
Provider — SunRun
Date: 2024-05-01

Activation record (completed after installation)

Field	Entry
System activation date	2024-05-10
Inspector / permit closure	City permit closed 2024-05-08
Monitoring account active	Yes

Exhibit 1 — Cancellation notice (right to cancel)

You may cancel this agreement without penalty or obligation within three business days after the date you sign it. To cancel, deliver or mail a signed and dated copy of the cancellation notice to the provider's address above before the end of the third day. If you cancel by mail, the postmark date counts. Any payments you have made will be returned within fourteen days of the provider receiving your notice.

Cancellation notice	Entry
I hereby cancel the agreement dated	_____
Customer signature	_____
Date signed for cancellation	_____
(Provider use) Notice received	_____

Exhibit 2 — Sample annual production statement

The provider issues a production statement each contract year. A sample month-by-month layout is shown below; actual figures come from the monitoring meter.

Month	Metered kWh	Estimate kWh
Jan	980	1,020
Feb	1,040	1,080
Mar	1,220	1,260
Apr	1,290	1,330
May	1,380	1,420
Jun	1,410	1,450
Jul	1,440	1,480
Aug	1,390	1,430
Sep	1,260	1,300
Oct	1,120	1,160
Nov	950	990
Dec	890	930

Contract year total: 14,000 metered kWh against a 14,850 kWh estimate; within the guarantee band, no credit due.

End of synthetic solar agreement. SYNTHETIC DEMO DOCUMENT — fictional data for demonstration only. Not an official California Association of Realtors form.